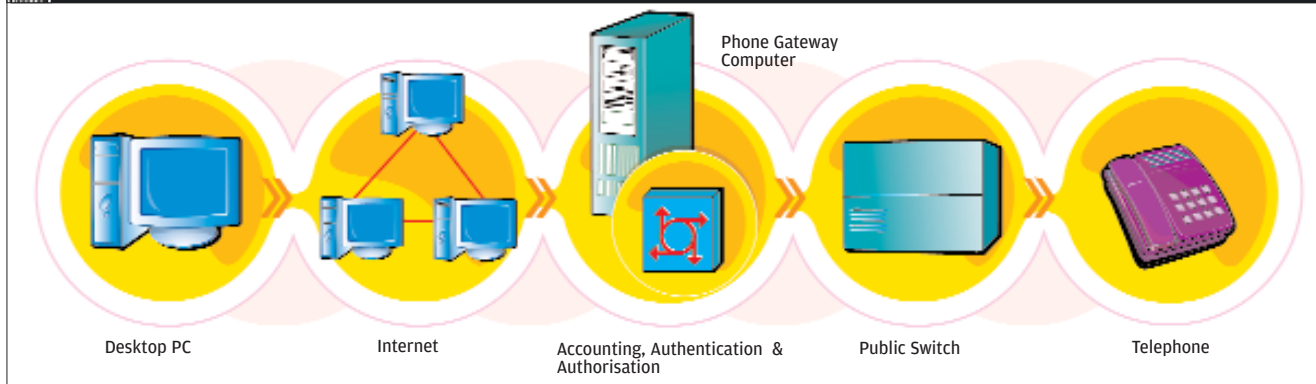




## Calls Done Through Internet Telephony



**Net4India:** The only service provider who offers Internet telephony from is Net4India. Net4India's 'Phonewala' card is an Internet telephony service.

### How Does It Work?

**Calling card:** A calling card is normally a prepaid card wherein the customer has to pay in advance for the calls he would make. The calling card enables anybody with a phone connection (even without STD/ISD facility) to make international or national calls.

Charges are normally levied only for the duration of the conversation and deducted from the card value. Almost all cards offer a toll-free access number. On dialling this number, an 'Interactive Voice Response' (IVR) instructs the customer on how to proceed.

**Internet Telephony:** VoIP (Voice over Internet Protocol) is the transmission of voice through IP packets and therefore, through the Internet. VoIP is a term used for voice being transported via the Internet, intranet or data links regardless of the standard, be it H.323 or a proprietary one in use. The data network involved might be the Internet itself or a corporate intranet or managed networks used by local or long distance carriers and ISPs. VoIP works on the packet switching technology that is different from the traditional phone system, which uses the circuit switching technology.

(Refer page 134 in the November 2004 issue of 'Digit' for a 'Visual Explanation' of VoIP)

### Experts Say...

Telecom companies are optimistic about the Indian market. Sandeep



Photograph: Shailesh Mule

**To save on operational cost, businessmen opt for calling cards**

**Sandeep Kolwadkar**

Deputy General Manager-BD, BSNL, Maharashtra

Kolwadkar, deputy general manager-BD, BSNL Maharashtra, says, "BSNL launched the 'India Telephone' card 10 years ago when the market was not as big. But now, the market has picked up. Although cellular service providers have attractive schemes, there an incoming charge is applicable when your mobile is on a roaming mode. To save on this cost, businessmen opt for calling cards. At BSNL, we have deployed a new intelligent platform across the country. This helps bring together 40 lakh customers."

Sanjit Chatterjee, general manager, Net4India says, "Currently, the rules and regulations of the DoT and TRAI are not favourable. The commercial viability is still not encouraging. Besides, the Internet penetration is another factor that needs to improve for our services to catch on. Broadband policy is also a concern. The market is actually in its initial stages and there are many more ladders to climb. Wi-Fi phones can help improve the demand for Internet telephony. That part, regular and sustained marketing efforts by companies will also help improve the market."

### End Users

While a majority of the cards today are being used by the general public, there are also a few who use it to enhance their business.

Al Masaarr Computers, Surat, retail Net4India, Bharti Infotel, ICENET and other calling cards. They purchase these cards in bulk from the vendors and supply them to local stores where they can be purchased. Al Mufaddal of Al Masaarr says, "Our clients range from domestic users who spend up

to Rs 2,000 per month to commercial users who spend up to Rs 1 lakh for buying Internet calling cards."

Friends Globe Travel, a travel agency, uses Bharti Infotel and Net4India's products for its business supplying the cards with their travel packages to customers. "We did some research and found that corporates who travel spend a lot of time trying to connect. A lot of money is also spent on this aspect. We decided to be the one-stop solution by including a calling card in the travel package itself. The response has been positive as it saves the traveller the trouble of finding a calling card in a foreign country."

Sutapa Mukherjee, an instructional designer at NIIT who travels widely for her work, likes to do her card purchasing abroad rather than in India. "I have only once purchased a card in India but it was not a good experience. There was a difference in the promised talk time and what I could actually use. Importantly, I never understood the balance on the card. In contrast, cards available abroad are cheaper and offer talk time of almost 10 minutes for as low as \$2. The quality of the connection is also very good with those cards," she says.

### What Next?

The deregulation of International Long Distance (ILD) and Internet telephony markets in India took place in April 2002. Deregulation provided new opportunities for competitive carriers who found that VoIP and calling cards met their needs for rapid deployment and minimal costs. With some more initiative by the government, this market is bound to grow faster. ■

preethi\_chamikutty@thinkdigit.com